

Runway Analysis

Find a company's cash runway instantly using AI Chat or through the downloadable financial model.

At a Glance

Who This Is For	Users analyzing a company's cash position and burn rate for due diligence or internal planning
What You'll Need	A connected company account in the platform; access to the AI Chat feature or the Credit Diligence Model
Time	4 to 8 minutes
What You'll Get	Estimated runway in months, cash balance, burn rate, and underlying financial summary

Video Walkthrough

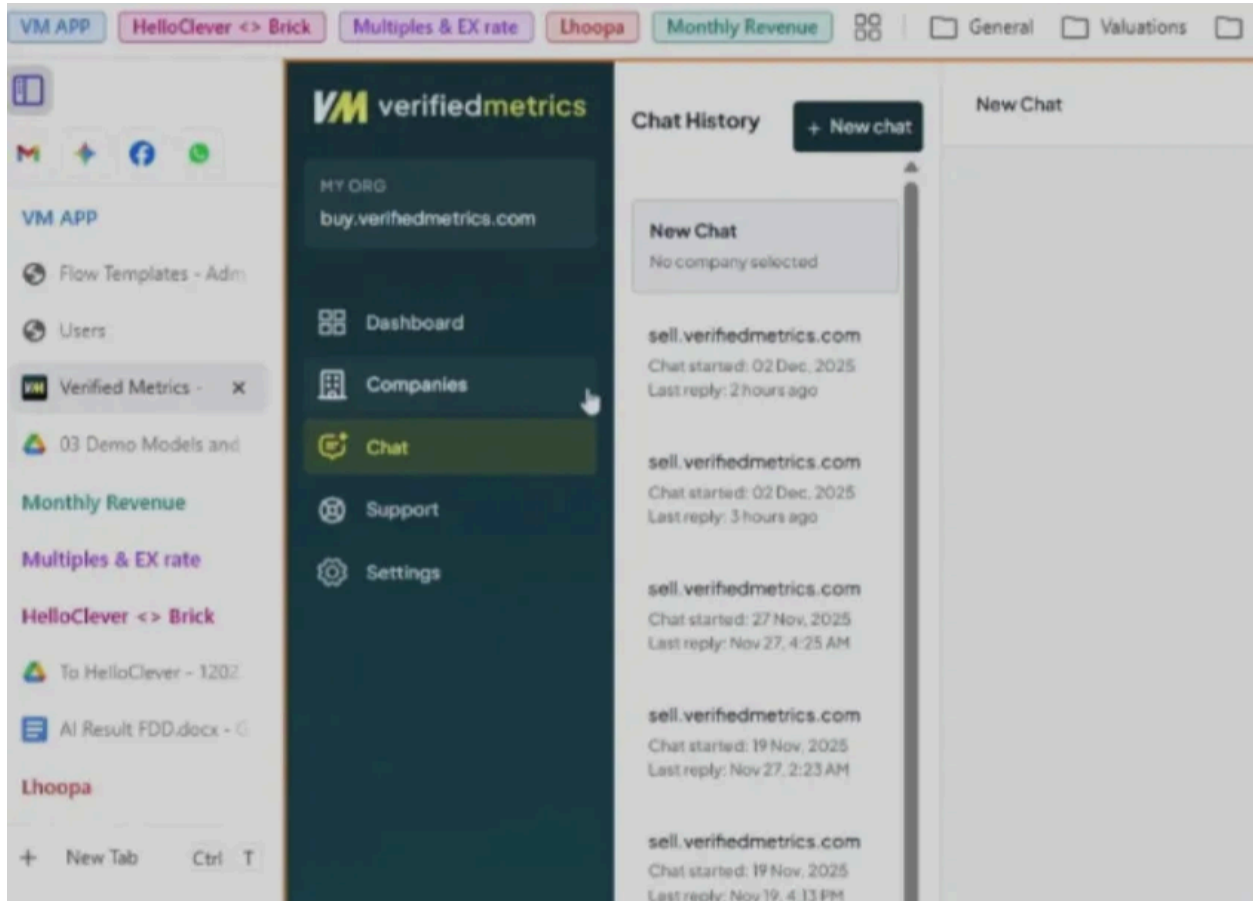
Runway Analysis (under 4 min.)

[attachment:11762a78-f6a5-45f9-bb0d-bcfdcca731d5:Version_Dec_4_11_48 AM - Help_Video_Runway_Analysis_\(1\).mp4](#)

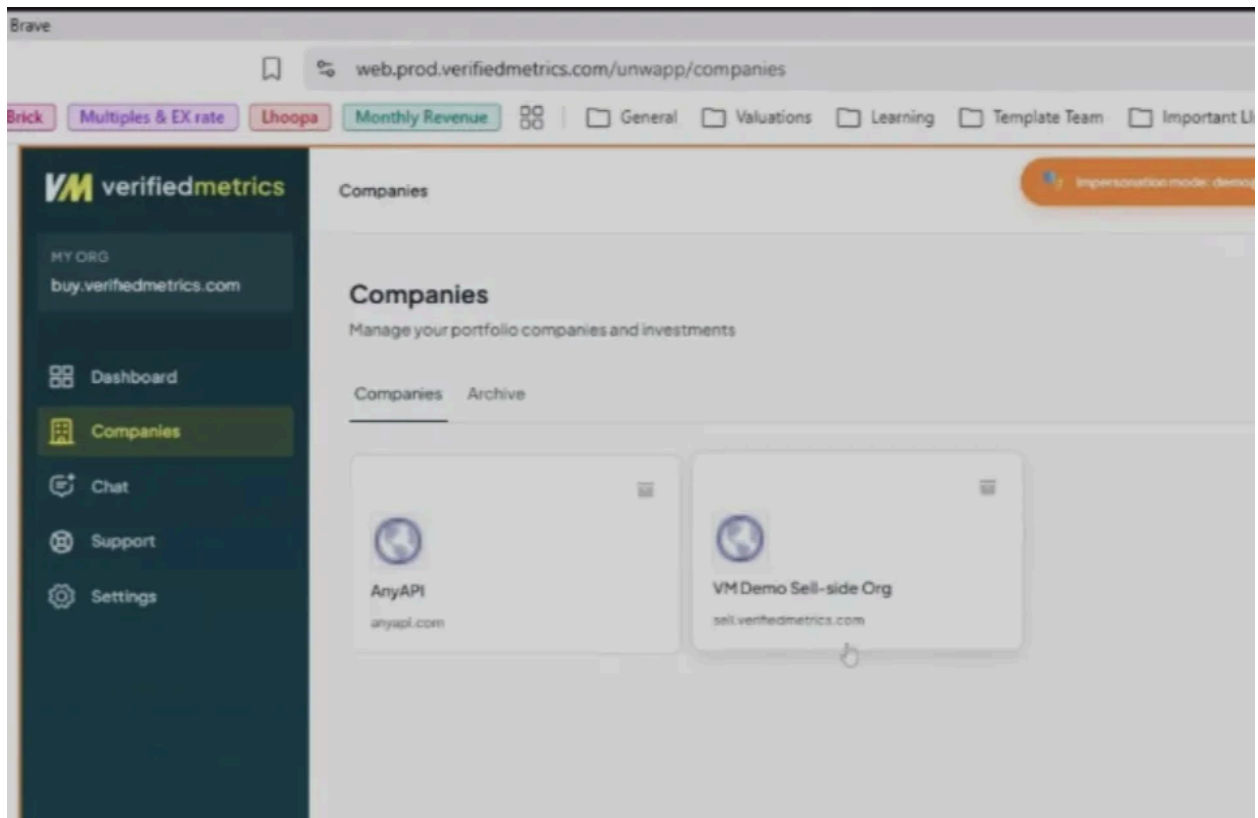
Prefer to read? Steps below include screenshots.

Steps

Method 1: Use AI Chat (Fastest)



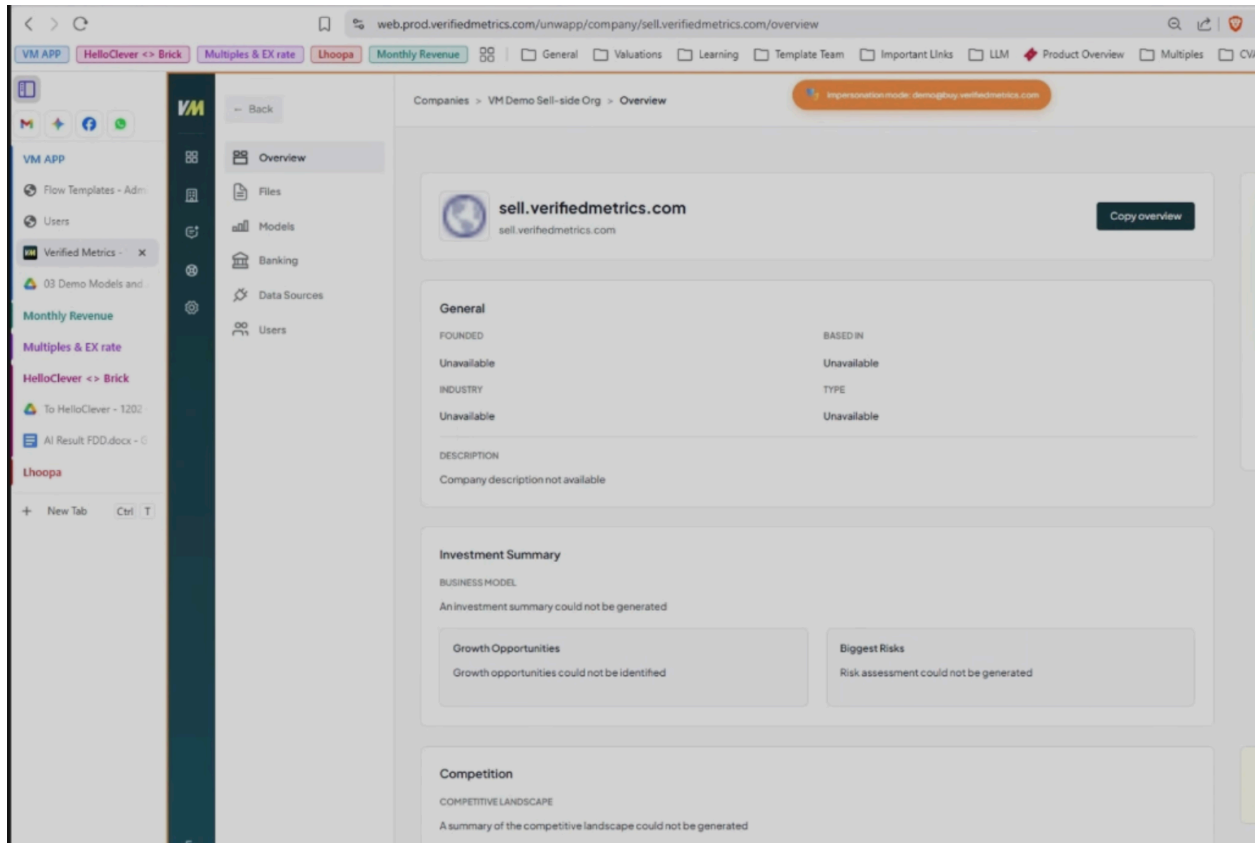
1. Select a Company



Open the dashboard and click **Select Company**.

Choose the company you want to run the analysis on.

2. Wait for the Summary to Load



Allow the AI to analyze the company's journal-level financial data.

This typically takes **3–4 minutes** and automatically generates a financial summary.

3. View the Auto-Generated Runway

Scroll the summary panel to view **Cash Balance**, **Monthly Burn**, and **Estimated Runway**.

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- Companies
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Chat History + New chat

sell.verifiedmetrics.com
Chat started: 02 Dec, 2025
Last reply: Just now

sell.verifiedmetrics.com
Chat started: 02 Dec, 2025
Last reply: 2 hours ago

sell.verifiedmetrics.com
Chat started: 02 Dec, 2025
Last reply: 4 hours ago

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Chat started: 27 Nov, 2025
Last reply: Nov 27, 4:25 AM

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Chat started: 19 Nov, 2025
Last reply: Nov 27, 2:23 AM

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Chat started: 19 Nov, 2025
Last reply: Nov 19, 4:13 PM

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Chat started: 19 Nov, 2025
Last reply: Nov 19, 2:07 AM

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Chat started: 05 Nov, 2025
Last reply: Nov 7, 1:23 AM

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Chat started: 06 Nov, 2025
Last reply: Nov 6, 7:30 AM

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Inspection mode: demo@buy.verifiedmetrics.com

- Strong cash position: \$598,514.14 in bank accounts (86% of total assets)
- Low receivables: Only \$34,946.01 in Accounts Receivable
- Fixed assets: \$63,483.61

Liabilities (\$31,127.80 total):

- Minimal debt: Very low liability levels
- Accounts Payable: \$5,989.28
- Negative deferred revenue: -\$37,117.08 (unusual - may indicate accounting issue)

Equity (\$2,299,325.26):

- Well-capitalized: \$1,800,000.00 in Preferred Stock
- Common stock: \$505,823.61
- Recent fundraising: Strong equity base suggests recent capital raise (Preferred Stock structure)

Working Capital:

- Healthy position: Current assets significantly exceed current liabilities
- Strong liquidity: Current ratio appears favorable

Critical Flags

High Priority:

- Persistent losses: Operating at a loss in 10 of 12 months YTD 2025
- Expense management: July spike to \$186,640.44 requires investigation
- Revenue decline: 3.0% YoY revenue decrease in 2025

Medium Priority:

- Revenue volatility: Wide swings from \$34,277 to \$144,982 month-to-month
- Deferred revenue anomaly: Negative balance of -\$37,117.08 needs review
- December data: Incomplete data (no expenses recorded) suggests sync issue

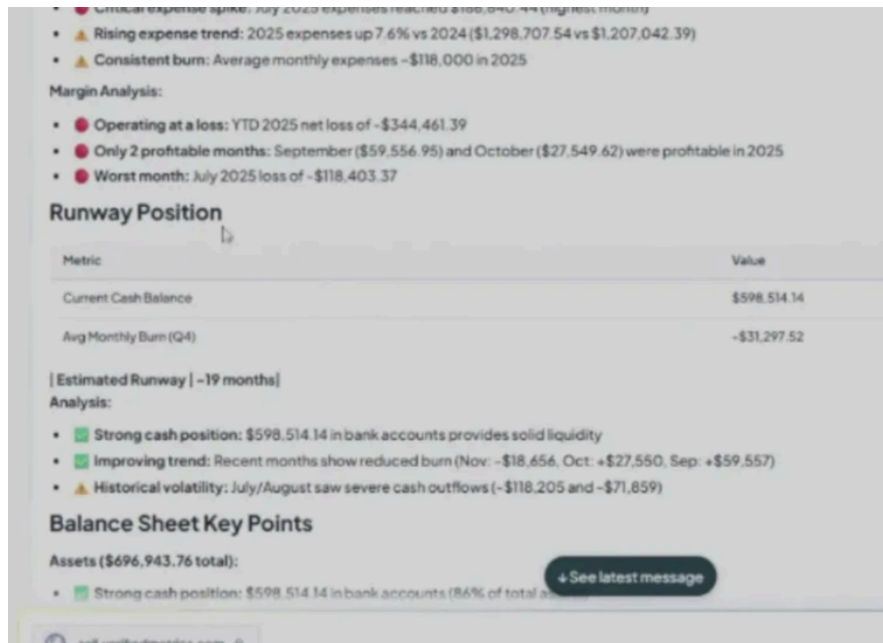
Positive Notes:

- Strong cash runway: 19 months at current burn rate
- Recent profitability: September and October showed positive net income
- Well-capitalized: \$2.3M in equity with preferred stock structure

Recommendation: While the company has strong cash reserves and equity backing, the persistent monthly losses immediate attention to cost structure and revenue generation strategies.

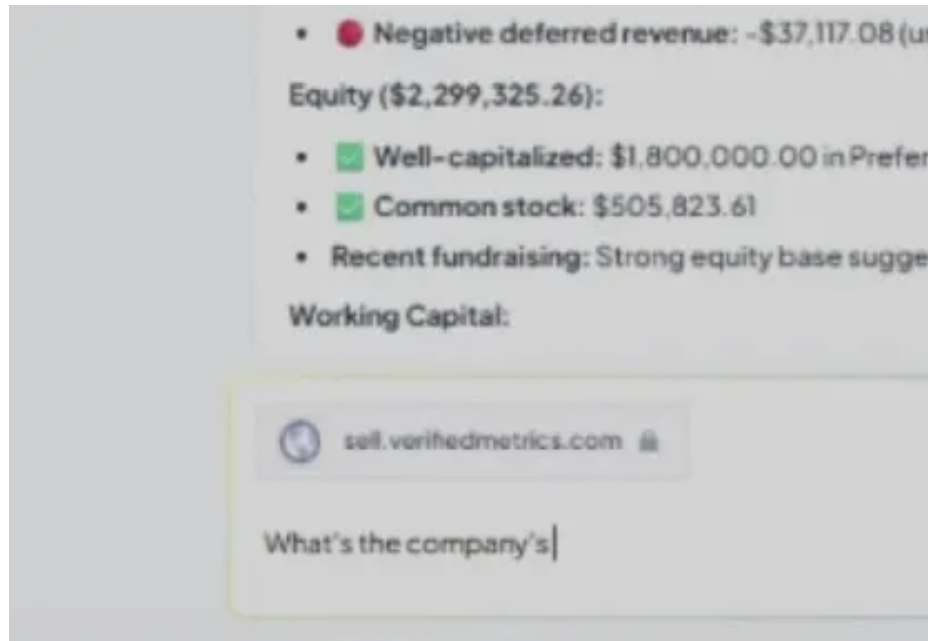
Just now

The runway appears even without typing a question.



4. Ask AI Chat (Optional)

Type a question such as **"What's the company's runway?"** into the AI Chat panel.



The AI returns the same runway calculation with additional detail.

Based on the financial data, here's MedA's current runway position:

Runway Analysis

Metric	Value
Current Cash Balance	\$598,514.14
Average Monthly Burn (Last 6 mo)	-\$31,297.52
Estimated Runway	~19 months

Recent Cash Flow Trend

Month	Net Cash Flow
2025-12	\$38,429.82
2025-11	\$15,718.46
2025-10	\$56,173.82
2025-09	\$21,921.11
2025-08	-\$71,858.56
2025-07	-\$18,205.04

Key Observations

- **Strong cash position:** \$598,514.14 provides solid runway cushion
- **Improving trend:** The last 4 months (Sep-Dec) all show positive cash flow, suggesting the company may be approaching cash flow breakeven
- ▲ **Volatility:** July and August showed severe cash outflows, indicating significant month-to-month variation

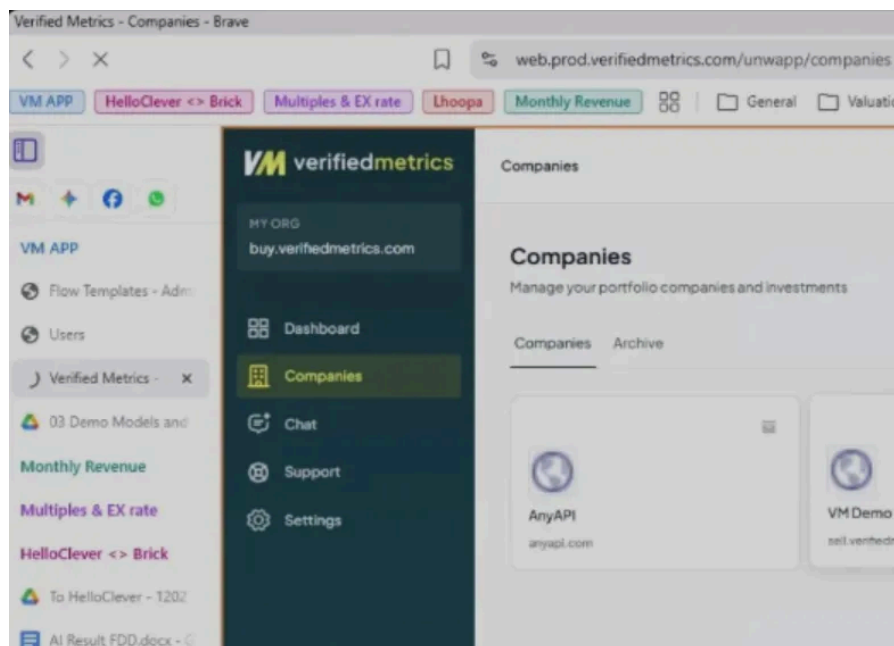
Bottom line: At the current 6-month average burn rate of ~\$31,298/month, the company has approximately **19 months of runway**. However, if the recent positive trend continues (last 4 months), the company may not need to raise additional capital at all.

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Method 2: Use the Financial Model (More Detailed)

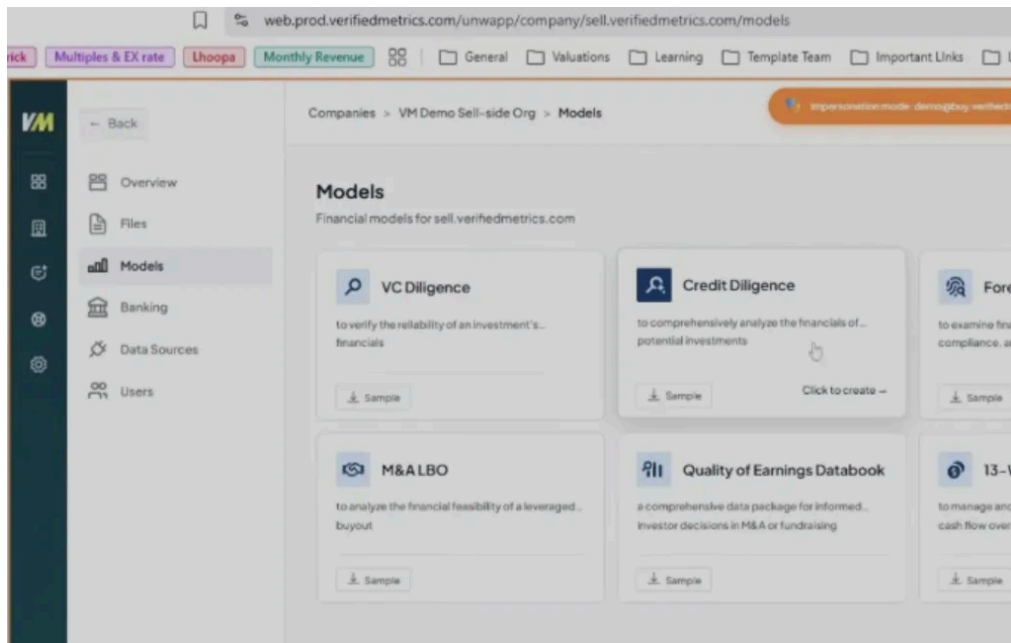
5. Go to the Company Section

Navigate to the **Company** section and select your demo or connected company.

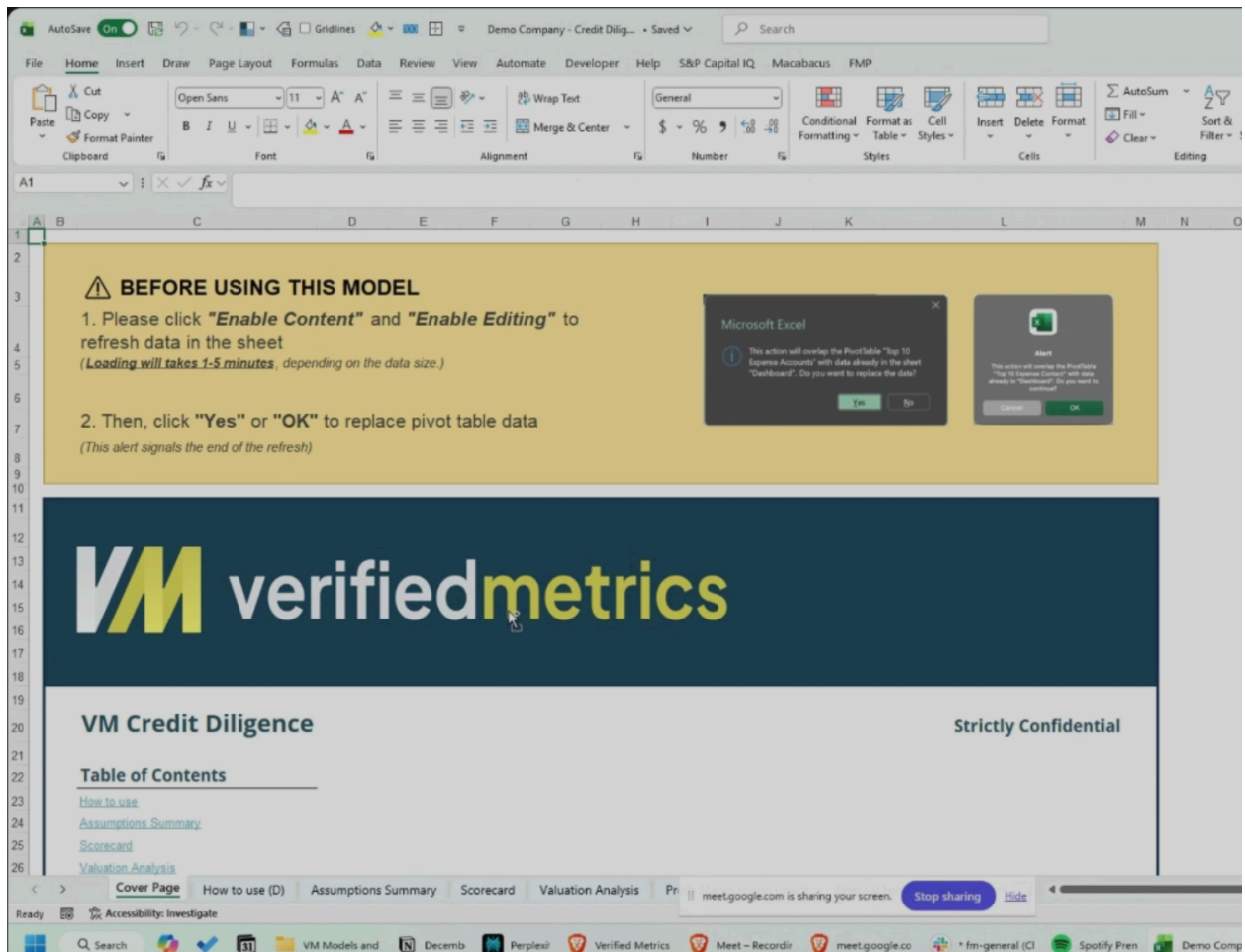


6. Download the Credit Diligence Model

Locate **Models** and click **Credit Diligence Model** to download it.



Open the file once the download is complete.



7. Open the 'Runway Analysis' Tab

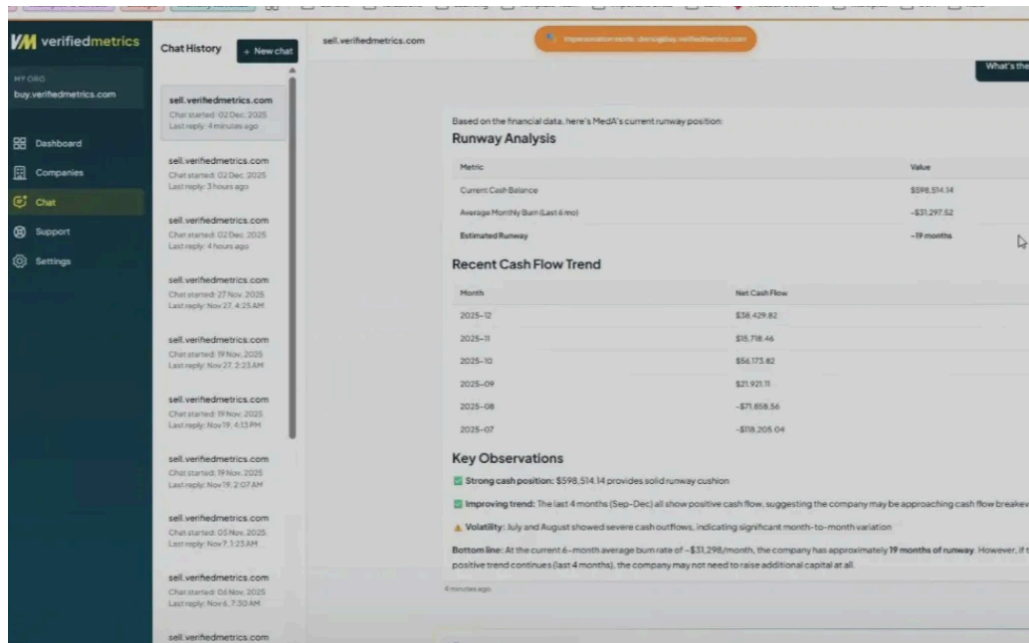
Inside the model, click the **Runway Analysis** tab.

7	
8	
9	
10	VM Credit Diligence
11	
12	Table of Contents
13	How to use
14	Assumptions Summary
15	Scorecard
16	Valuation Analysis
17	Profit Manipulation Check
18	External Funding Dependence
19	Income Statement
20	Balance Sheet
21	Cash Flow Statement
22	Runway Analysis
23	Financial KPIs

View the preloaded **current cash**, **burn rate**, and **runway** based on integrated accounting data.

8. Compare Chat Output vs Model Output

Confirm runway alignment between AI Chat and the model (e.g., **19 months**).



Both use the same data source from your accounting software.

Understanding Your Output

Output	What It Means
Cash Balance	Total cash available as of the latest synced period. Higher cash typically extends runway.
Monthly Burn Rate	How much cash the company spends monthly. A lower burn rate leads to a longer runway.

Output	What It Means
Estimated Runway (Months)	How long the company can continue operating at the current burn rate. 12–24 months generally indicates healthier runway for early-stage companies.
Financial Summary	A journal-level snapshot of revenue, expenses, and cash movements used as the basis for AI analysis.

Common Issues

Problem	Solution
Company account not connected	Connect the company's accounting software before accessing AI Chat or downloading models. Run through the invitation + connection process to sync data.
AI Chat not loading the summary	Wait 3–4 minutes for journal data processing. Refresh the page if it exceeds normal load time.
Runway tab missing in the model	Ensure the model downloaded is the Credit Diligence Model ; other models may not include a runway tab.
Runway numbers don't match expectations	Verify that accounting data is syncing correctly; mismatches often occur when the company connection is incomplete.

What's Next

 **Done when:** You can view the runway using AI Chat or the Runway Analysis tab, and the output matches across both methods.

→ Next: Run a Revenue & Gross Profit Analysis

Need Help?

Contact Support: support@verifiedmetrics.com